Microsoft Corp (MSFT US, BUY, TP: US$630.00)

BUY | HOLD | SELL

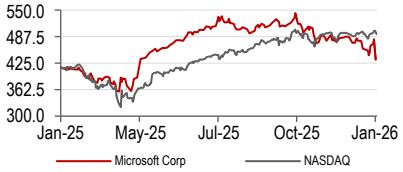
Target Price: US$630.00	Price: US$430.29
Potential up/downside to TP +/-%	+46%
52-Week High/Low (US$)	555.45/344.79
Market Cap (US$mn)	3,209,963
Shares Outstanding (mn)	7,460
3-mth ADTV (US$mn)	12,621
Free Float (%)	100
Major Shareholder (%)	
Vanguard Group	9
Blackrock	7

Price as of close on January 30, 2026.
Source: FactSet

Key Changes

	New	Old	Diff
Rating	BUY	BUY	N/A
Target Price (US$)	630.00	630.00	0%
2026E EPS (US$)	17.11	15.80	8%
2027E EPS (US$)	18.83	18.72	1%
2028E EPS (US$)	21.79	21.64	1%

Price Performance



Source: FactSet

China Renaissance vs Consensus (% Diff)

	2026E	2027E
Rev (US$mn)	323,767 (+1%)	371,303 (+1%)
EPS (US$)	15.49 (+10%)	18.13 (+4%)

Note: Consensus estimates displayed, sourced from Visible Alpha. Positive % diff = CR estimate above consensus; negative = CR estimate below consensus.

F2Q26 Review: Progresses in Azure and beyond Azure

- **F2Q26 results largely in line; Azure growth affected by supply constraints.**
- **Company achieved solid performance beyond Azure supported by its AI investments.**
- **Reiterate BUY and TP of US$630.00 (34x FY27E P/E).**

Azure and capital investments: Azure delivered 39% (38% in forex neutral) YoY growth in the quarter, slightly above the 37% guidance but below Visible Alpha's consensus of 40%. Management guided 37-38% YoY growth for the next quarter, also below 39% consensus. Capex of the quarter was US$37.5bn (vs.US$34.9bn last quarter), of which 2/3 was for CPUs and GPUs (increased from ~50% mix last quarter yet is expected to remain at this level for next quarter, per mgmt), and the remaining 1/3 of spending is for long-term assets such as datacenters. The company added about 1 gigawatt of total capacity this quarter but still faces supply constraints as demand remains strong.

It's not just Azure. As management highlighted on the call, its capex spending is for multiple purposes: 1) first-party AI usage services such as M365 Copilot and GitHub Copilot, 2) internal R&D teams, and 3) Azure business. In the continuing situation of supply constraints, Azure cannot fully expand its business to serve all the potential demand on the market, which would have helped it deliver over 40% growth for the quarter. Management also disclosed incremental achievements in other businesses supported by its AI investments. For example, its paid Microsoft 365 Copilot seats reached 15mn in the quarter, and the number of business customers with over 35k seats tripled YoY. By nature, SaaS projects/subscriptions usually have higher margin than pure cloud rental business.

F2Q26 financial highlights: Total revenue growth was 17% YoY, 1% higher than FactSet consensus. Total commercial Remaining Performance Obligation (RPO) was US$625bn by quarter end, +230% YoY, with weighted avg duration of 2.5 years. Within that, about 45% is from the recent multi-year Azure services commitment from OpenAI. The remaining 55% is from a broad-based customer base and represents a healthy 28% YoY growth. Operating margin was 47.1% for the quarter, vs 45.5% in F2Q25. Management anticipates FY26 full-year operating margin to be slightly up YoY, which would mark FY26 as the third year of margin expansion despite AI investments.

Financial revisions: We keep our FY26E/ 27E revenue and operating income forecasts largely unchanged. FY26 GAAP net income/ EPS now includes a US$4.5bn/ US$0.61 impact from its OpenAI investment net gain in other income in F1H26. Our FY26E capex forecast remains at ~US$150bn.

Reiterate BUY and TP of US$630.00, based on 34x FY27E P/E (prior: 40x FY26E) to reflect strong Azure momentum. **Risks include:** slower AI adoption, lagging innovation/competition in AI, weak macro picture, regulatory hurdles, and higher-than-expected operating expenditure.

Summary Financial Data

FY to Jun 30	2024A	2025A	2026E	2027E	2028E
Revenue (US$mn)	245,122	281,724	327,727	375,918	430,289
EBIT (US$mn)	107,787	123,627	155,031	170,138	196,321
Net Income (US$mn)	88,136	101,832	127,126	139,513	160,983
EPS (US$)	11.86	13.76	17.11	18.83	21.79
P/E (x)	31.9	30.8	25.1	22.8	19.7

Note: Historical valuation ratios calculated on yearly average price.

Research Team

Ella Ji, CFA
China Renaissance Securities (US) Inc.
+1 212 554 2966
ellaji@chinarenaissance.com

China Renaissance Securities (US) Inc. and/or one of its affiliates does and seeks to do business with companies covered in its research reports. Investors should consider this report as only a single factor in making their investment decision.

PLEASE SEE ANALYST CERTIFICATION(S) AND IMPORTANT DISCLOSURES BEGINNING IN APPENDIX A

Financial analysis

Exhibit 1: MSFT – F2Q26 actual vs. consensus estimates

(US$mn)	Actual	Consensus	% difference
Total revenue	**81,273**	**80,309**	**1%**
% change YoY	17%	15%	
Segment revenue			
IC	32,907	32,403	**2%**
% change YoY	29%	27%	
PBP	34,116	33,405	**2%**
% change YoY	16%	13%	
MPC	14,250	14,369	**-1%**
% change YoY	-3%	-2%	
Key product revenue growth % YoY (CC)			
Azure	39%	40%	
M365 Commerical Cloud	16%	14%	
M365 Consumer Cloud	29%	20%	
Gross profit	**55,295**	**53,855**	**3%**
% gross margin	68.0%	67%	
Operating income	**38,275**	**36,562**	**5%**
% operating margin	47.1%	46%	
Net income	**38,458**	**28,858**	**33%**
% net margin	47.3%	36%	
EPS (diluted)	**5.18**	**3.83**	**35%**

Source: Company data, FactSet consensus estimates

Estimate revisions

Exhibit 2: Microsoft – Estimate revisions

(US$mn)	New estimates			Old estimates			% change		
	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
Total revenue	**327,727**	**375,918**	**430,289**	**326,233**	**374,383**	**428,175**	**0%**	**0%**	**0%**
% change YoY	16%	15%	14%	16%	15%	14%			
IC revenue	135,987	167,480	205,633	133,773	165,219	202,788	2%	1%	1%
% change YoY	28%	23%	23%	26%	24%	23%			
PBP revenue	137,052	151,157	165,255	136,698	150,757	164,806	0%	0%	0%
% change YoY	13%	10%	9%	13%	10%	9%			
MPC revenue	54,688	57,281	59,401	55,761	58,407	60,581	-2%	-2%	-2%
% change YoY	0%	5%	4%	2%	5%	4%			
Gross profit	**222,537**	**253,745**	**290,445**	**219,812**	**252,708**	**291,159**	**1%**	**0%**	**0%**
% Gross margin	68%	68%	68%	67%	68%	68%			
Operating income	**152,220**	**172,938**	**198,521**	**151,819**	**172,046**	**197,359**	**0%**	**1%**	**1%**
% Operating margin	46%	46%	46%	47%	46%	46%			
Net income	**127,126**	**139,513**	**160,983**	**117,390**	**138,781**	**160,030**	**8%**	**1%**	**1%**
% Net margin	93%	83%	78%	36%	37%	37%			
EPS (basic)	**17.11**	**18.83**	**21.79**	**15.80**	**18.72**	**21.64**	**8%**	**1%**	**1%**
EPS (diluted)	**17.04**	**18.76**	**21.70**	**15.74**	**18.65**	**21.55**	**8%**	**1%**	**1%**
Capex	**151,494**	**159,758**	**165,219**	**150,826**	**159,118**	**164,422**	**0%**	**0%**	**0%**
% change YoY	-55%	89%	83%	-67%	149%	92%			

Source: CRSUS estimates

We largely keep our FY26E/ 27E revenue and operating income forecasts unchanged. Our FY26E net income and EPS estimates are increased by 8% due to the gain from OpenAI's recapitalization recorded in other income, which contributed US$4.5bn in net income and US$0.61 in EPS for F1H26.

Valuation

We value Microsoft using a P/E-based methodology as we believe earnings and earnings growth are the most important financial factors for the company, and well reflect Microsoft's strategy and execution.

We roll over our target P/E valuation to FY27. We currently value MSFT at 34x FY27E P/E, vs 40x FY26E P/E previously. We remain constructive about Microsoft's earnings growth sustainability and AI leadership among global tech companies.

Exhibit 3: Microsoft – P/E valuation

	US$(mn)
FY27E	139,513
Target PE multiple	34
Target market cap	4,701,602
No. of shares (mn)	7,460
Target price (US$)	**630.00**
Current price (US$)	430.29
Potential upside	46%

Note: Price as of Jan 30, 2026 close. Source: Bloomberg, company data, CRSUS estimates

Risks

- **Slower-than-expected AI adoption.** Slower-than-expected AI adoption by enterprises and consumers alike would pose a risk to our revenue and earnings forecasts and likely dampen sentiment on Microsoft's investment value.

- **Innovation and competition risks in AI technology development.** Microsoft's leading position in AI is built on its generative-AI capabilities. Any disruption from competitors or innovation from other streams of AI technology in this rapidly developing field may weaken Microsoft's leadership in this area, posing a risk to our forecasts for revenue growth.

- **Macro weakness.** Macro headwinds weigh on IT spending in both the enterprise and personal segments, and Microsoft has exposure to most verticals and geographies. Any downturn in the global macroeconomic environment would likely lead to weaker revenue and earnings growth for Microsoft.

- **Regulatory risks.** Microsoft operates in a complex regulatory environment, subject to various laws and regulations across the locations it operates in, regarding AI, data privacy, antitrust, intellectual property, taxation and ESG, among others. Microsoft may face legal challenges or investigations from regulators across the world, which may cause unexpected disruption to its business strategy, revenue and earnings growth.

- **Higher-than-expected operating spending.** Ongoing improvement of operational efficiency has been one of the key drivers of Microsoft's earnings growth in recent years. We forecast operating margin to continue to improve during our forecast period. Higher-than-expected operating expenditure would weigh on Microsoft's earnings growth outlook and pose a risk to our forecasts.

Financials

Year to Jun 30

Income Statement

(US$mn)	2025A	2026E	2027E	2028E
More Personal Computing	54,649	54,688	57,281	59,401
Productivity & Business Process	120,810	137,053	151,157	165,255
Intelligent Cloud	106,265	135,987	167,480	205,633
Sales	**281,724**	**327,727**	**375,918**	**430,289**
Cost of Goods Sold	(87,831)	(105,190)	(122,173)	(139,844)
Gross Profit	**193,893**	**222,537**	**253,745**	**290,445**
SG&A (incl. R&D)	(65,365)	(70,317)	(80,806)	(91,924)
EBIT	**123,627**	**155,031**	**170,138**	**196,321**
EBITDA	**157,780**	**200,972**	**238,307**	**286,250**
Net interest income	0	0	0	0
Net interest expense	0	0	0	0
Pretax profit	**123,627**	**155,031**	**170,138**	**196,321**
Income Tax	(21,795)	(27,906)	(30,625)	(35,338)
Reported net income	**101,832**	**127,126**	**139,513**	**160,983**
EPS (reported) (US$)	**13.76**	**17.11**	**18.83**	**21.79**

Balance Sheet

(US$mn)	2025A	2026E	2027E	2028E
Current assets	**191,131**	**195,100**	**231,004**	**303,256**
Cash & equivalents	94,565	80,468	94,695	152,242
Account receivables	69,905	73,756	93,090	97,888
Inventories	938	4,826	1,869	5,794
Other current assets	25,723	36,050	41,351	47,332
Non-current assets	**399,394**	**498,201**	**587,131**	**659,368**
PPE	212,053	312,686	400,516	471,311
Intangible assets	22,604	22,524	23,284	24,778
Goodwill	119,220	119,220	119,220	119,220
Other non-current assets	30,917	29,171	29,511	29,459
Total assets	**590,525**	**693,301**	**818,135**	**962,623**
Total Current Liabilities	**134,007**	**155,316**	**174,807**	**195,097**
ST interest bearing debt	2,999	9,249	6,249	3,249
Unearned revenue	64,555	75,096	86,139	98,598
Accounts Payable	27,724	31,643	37,309	41,616
LT interest bearing debt	39,688	30,438	30,438	30,438
Other Liabilities	79,756	84,083	88,624	93,433
Total Liabilities	**260,662**	**277,004**	**300,988**	**326,031**
Common Stock/Ordinary Capital	102,979	102,979	102,979	102,979
Share Premium	0	0	0	0
Retained Earnings	226,884	313,318	414,168	533,614
Shareholders Equity	**329,863**	**416,297**	**517,147**	**636,593**
Minority Interest	0	0	0	0
Total Liabilities & Sh. Equity	**590,525**	**693,301**	**818,135**	**962,623**

Note: Historical valuation ratios calculated on yearly average price.

Source: Company data, CRSUS estimates

Cash Flow

(US$mn)	2025A	2026E	2027E	2028E
Reported net income	**101,832**	**127,126**	**139,513**	**160,983**
Depreciation & amortization	34,153	45,941	68,168	89,929
Net interest (income) / expenses	609	3,500	3,500	3,500
Other non-cash items (+/-)	0	0	0	0
Others (+/-)	4,918	6,573	5,201	5,861
Change in Working Capital	(5,350)	(7,050)	(3,735)	4,029
Cash Flow from operations	**136,162**	**176,089**	**212,648**	**264,303**
Capex	(88,200)	(151,494)	(159,758)	(165,219)
Acquisitions & Investments	(4,387)	0	0	0
Disposal of Fixed Assets & Invst	0	0	0	0
Other Investing Activities	19,988	5,000	3,000	3,000
Net Cash Flow from Investments	**(72,599)**	**(146,494)**	**(156,758)**	**(162,219)**
Dividends paid	(24,571)	(27,042)	(29,663)	(32,538)
Change in Debt	(8,962)	(3,000)	(3,000)	(3,000)
Equity raised / (purchased)	2,056	0	0	0
Other Financial Activities	(20,222)	(13,650)	(9,000)	(9,000)
Net Cash Flow from Financing	**(51,699)**	**(43,692)**	**(41,663)**	**(44,538)**
Net Cash Flow	**11,927**	**(14,097)**	**14,227**	**57,546**
Free Cash Flow	**47,962**	**24,595**	**52,890**	**99,084**

Key Assumptions

	2025A	2026E	2027E	2028E
Azure YoY growth (%)	34.1	38.9	30.0	28.0

Financial Ratios

	2025A	2026E	2027E	2028E
YoY (%)				
Revenue	14.9	16.3	14.7	14.5
Gross Profit	13.4	14.8	14.0	14.5
EBITDA	21.3	27.4	18.6	20.1
Net Profit	15.5	24.8	9.7	15.4
EPS	16.0	24.4	10.1	15.7
Profitability (%)				
Gross Margin	68.8	67.9	67.5	67.5
EBITDA Margin	56.0	61.3	63.4	66.5
EBIT Margin	43.9	47.3	45.3	45.6
Net Margin	36.1	38.8	37.1	37.4
ROE	30.9	30.5	27.0	25.3
ROA	17.2	18.3	17.1	16.7
Liquidity (x)				
Current ratio	1.4	1.3	1.3	1.6
Quick ratio	1.4	1.2	1.3	1.5
Valuation Ratios (x)				
P/E	30.8	25.1	22.8	19.7
P/B	9.5	7.7	6.2	5.0
P/S	11.4	9.8	8.5	7.5

Appendix A

Analyst Certification

I, Ella Ji, CFA, certify that the views expressed in this research report accurately reflect my personal views about any and all of the subject securities or issuers featured in this report. Furthermore, no part of my compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed in this report.

Important Disclosures

Legal entities disclosures for global distribution

China Renaissance Securities (US) Inc. ("CRSUS") is registered with the Securities and Exchange Commission as a U.S. broker-dealer under Section 15 of the Securities Exchange Act of 1934 and is a member of FINRA and SIPC (http://www.sipc.org). CRSUS is located at 295 Madison Avenue, 18th Floor, New York, NY 10017. China Renaissance Securities (Hong Kong) Limited ("CRSHK") is licensed by the Securities and Futures Commission for the conduct of dealing in securities, advising on securities, and advising on corporate finance. CRSHK is located at Units 8107-08, Level 81 International Commerce Centre, 1 Austin Road West, Kowloon, Hong Kong. China Renaissance Securities (China) Co., Ltd. ("CR Securities") is licensed by the China Securities Regulatory Commission for conducting securities investment consulting business. CR Securities is located at 23rd Floor, East Tower, Raffles City The Bund, 1089 East Daming Road, 200082 Shanghai, China. China Renaissance (Singapore) Pte. Ltd. ("CR Singapore") is licensed by the Monetary Authority of Singapore under the Securities and Futures Act 2001 ("SFA") to deal in capital markets products that are securities and holds an exemption under the Financial Advisers Act 2001 ("FAA") allowing it to provide financial advice and issue or promulgate research analyses or research reports. CR Singapore is located at 12 Marina View, #11-01, Asia Square Tower 2, Singapore 018961. (CRSUS, CRSHK, CR Securities and CR Singapore are referred to as "China Renaissance" collectively).

The research group of China Renaissance produces and distributes research products for clients of China Renaissance on a global basis. Analysts based in China Renaissance offices around the world produce equity research on industries and companies, and research on macroeconomics and portfolio strategy. This research report is disseminated in **Hong Kong** by CRSHK; in **the United States of America** by CRSUS; and in **Singapore** by CR Singapore. CRSUS has approved and agreed to take responsibility for any research report prepared by CRSHK or CR Securities if and to the extent CRSUS distributes it in the United States.

Country and Region-specific Disclosures

Distribution in the United States: See Company-specific Regulatory Disclosures below for any of the following disclosures required for companies referred to in this report: manager or co-manager in a pending transaction; 1% or other ownership; compensation for certain services; types of client relationships; managed/co-managed public offerings in prior periods; directorships; for equity securities, market making and/or specialist role. China Renaissance trades or may trade as a principal in debt securities (or in related derivatives) of issuers discussed in this report. In addition to 1% ownership positions in covered companies that are required to be specifically disclosed in this report, China Renaissance, its affiliates, and their respective officers, directors or employees, other than the analyst(s) who prepared this report, may have a long position of less than 1% or a short position or make purchases or sales as principal or agent in the securities discussed herein, related securities or in options, futures or other derivative instruments based thereon. Recipients of this report are advised that any or all of the foregoing arrangements, as well as more specific disclosures set forth below, may at times give rise to potential conflicts of interest.

Unless prohibited by the provisions of Regulation S of the U.S. Securities Act of 1933, this publication is distributed in the U.S. in accordance with the provisions of Rule 15a-6, under the U.S. Securities Exchange Act of 1934 for Major Institutional Investors, as such term is defined in Rule 15a-6. To the extent that this publication is distributed to U.S. Institutional Investors other than Major Institutional Investors, this publication is distributed by CRSUS but not CRSHK or CR Securities (whether directly or indirectly). Any transactions by U.S. persons with CRSHK or CR Securities in any security discussed in this research report will be effected through CRSUS, in compliance with the requirements of paragraph (a)(3) of Rule 15a-6 of the U.S. Securities Exchange Act of 1934.

The following are additional required disclosures: **Ownership and material conflicts of interest:** China Renaissance's policy prohibits its analysts, professionals reporting to analysts and members of their households from owning positions in securities of any company in the analyst's area of coverage. **Analyst compensation:** Analysts are paid in part based on overall revenues of China Renaissance, which includes investment banking revenues. **Analyst as officer or director:** China Renaissance's policy prohibits its analysts, persons reporting to analysts or members of their households from serving as an officer, director, advisory board member or employee of any company in the analyst's area of coverage. Non-U.S. Analysts: **Non-U.S. analysts** are not registered or qualified as research analysts with FINRA. They may not be associated persons of CRSUS and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with subject company, public appearances and trading securities held by the analyst.

Distribution in Hong Kong: This research report has been prepared solely for professional investors (as defined in the Securities and Futures Ordinance (CAP 571 of the Laws of Hong Kong) whose business involves the acquisition, disposal or holding of securities whether as principal or agent. This research report is not intended for disclosure to, and should not be relied upon by, any person other than a professional investor. For professional investors in Hong Kong, please contact CRSHK for all matters and queries relating to this report.

See Company-specific Regulatory Disclosures below for the disclosures which are made by CRSHK as per paragraph 16 of the Code of Conduct for Persons Licensed by or Registered with the Securities and Futures Commission ("SFC Code of Conduct"), and capitalized terms used below bear the same meanings as defined in paragraph 16 of the SFC Code of Conduct. A copy of the SFC Code of Conduct can be found on: www.sfc.hk.

Distribution in Singapore: This research report is distributed in Singapore only to institutional investors and accredited investors as defined in the SFA. Recipients of this report should contact representatives of CR Singapore at EnquiriesSG@chinarenaissance.com in respect of any matters arising from, or in connection with, this research report. By virtue of distributing only to the aforementioned institutional investors and accredited investors, CR Singapore does not accept legal responsibility for the contents of the report (pursuant to Regulation 32C(1)(d) of the Financial Advisers Regulations). CR Singapore and/or its representatives are exempt from complying with certain requirements under the FAA pursuant to certain exemptions under the FAA and one or more subsidiary legislations of the FAA when providing financial advisory services to an institutional investor or an accredited investor.

Analyst Conflict of Interest

The research analyst(s) responsible for the preparation of this report receives compensation based upon a variety of factors, including the quality and accuracy of research, internal/client feedback, and overall firm revenues, which include investment banking revenues. Research analysts do not receive compensation based upon revenues from specific investment banking transactions.

Company-specific Regulatory Disclosures

In the next three months, China Renaissance expects to receive or intends to seek compensation for investment banking services from : Microsoft Corp (MSFT US)

Distribution of Ratings and Investment Banking Relationships

Below is the distribution of research recommendations as of February 02, 2026.

Rating	Count	Percent	IB Count	IB%
Buy	150	77%	4	3%
Hold	43	22%	0	0%
Sell	2	1%	0	0%

China Renaissance assigns stock ratings of Buy, Hold and Sell. See 'Stock ratings and definitions' and 'Sector ratings and definitions' below.

Stock ratings and definitions: Stock ratings of Buy, Hold and Sell have a time horizon of twelve to eighteen months from the publishing date of the initiation or subsequent rating/price target change report issued for the subject company's stock. The following rating definitions were last updated on December 31, 2019:

Buy – The expected return on the subject company's stock price should outperform the typical benchmark market index for the subject company's primary listing exchange (e.g. the S&P 500 for U.S.-listed stocks) over the above-defined time horizon from the publishing date of the initiation of coverage or subsequent report announcing a rating change.

Hold – The stock price of the subject company is not expected to either appreciate or depreciate meaningfully from the typical benchmark market index for the subject company's primary listing exchange (e.g. the S&P 500 for U.S.-listed stocks) during the above-stated time horizon.

Sell – The expected return on the subject company's stock price should underperform the typical benchmark market index for the subject company's primary listing exchange (e.g. the S&P 500 for U.S.-listed stocks) over the above-defined time horizon from the publishing date of the initiation of coverage or subsequent report announcing a rating change.

Rating Suspended – China Renaissance has temporarily suspended the rating and, if applicable, the price target, for the subject company's stock because there is not a sufficient fundamental basis for determining, or there are legal, regulatory or policy constraints around publishing, an investment rating or price target. The previous rating and, if applicable, the price target, should no longer be relied upon. A Rating Suspended designation is not a recommendation or a rating.

Not Covered – a company for which China Renaissance research report has not been published.

Sector ratings and definitions: Sector Ratings of Overweight, Neutral and Underweight are applied to the designated sector coverage group with a time horizon of twelve to eighteen months from the date of report publication. The following rating definitions were last updated on January 19, 2019:

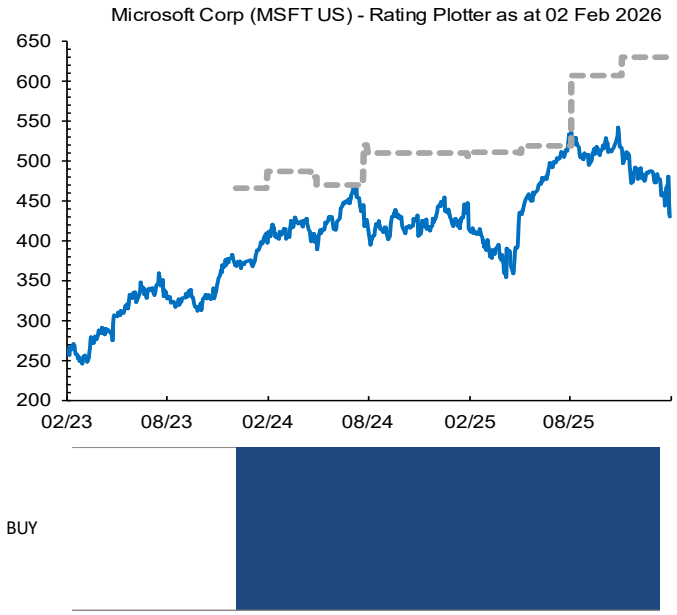
Overweight – Expect sector to outperform the relevant market. **Neutral** – Expect sector to perform in line with the relevant market. **Underweight** – Expect sector to underperform the relevant market.

Stocks Mentioned (Stock Code / Date / Price / Rating)

Microsoft Corp (MSFT US, Jan 30, 2026, US$430.29, BUY)

History of investment rating and target price – Microsoft Corp

Date	CP (US$)	TP (US$)	Rating
03-Nov-25	514.33	630.00	Buy
03-Aug-25	535.64	607.00	Buy
06-May-25	433.31	519.00	Buy
28-Apr-25	391.16	510.00	Buy
04-Feb-25	412.37	511.00	Buy
28-Jan-25	447.20	506.00	Buy
31-Jul-24	418.35	510.00	Buy
24-Jul-24	428.90	520.00	Buy
29-Apr-24	402.25	470.00	Buy
17-Apr-24	404.27	480.00	Buy
31-Jan-24	397.58	487.00	Buy
04-Dec-23	372.52	466.00	Buy



Valuation and Risks - Microsoft Corp (MSFT US)

Valuation: Our target price of US$630.00 is based on 34x FY27E net income.

Risks: Key downside risks include: 1) slower-than-expected AI adoption; 2) innovation and competition risks in AI technology development; 3) macro weakness; 4) regulatory risks; and 5) higher-than-expected operating expenditure.

General Disclosures

This research report is for institutional investors and accredited investors only. If you are an unintended recipient, you are requested to immediately notify and directly return this report to China Renaissance.

Other than disclosures relating to China Renaissance, this research report is based on current public information that we consider reliable, but we do not represent that any of the information contained herein is accurate, complete or up to date, nor shall China Renaissance have any responsibility to update any opinions or other information contained herein. The information, opinions, estimates and forecasts contained herein are as of the date hereof and are subject to change without prior notification. We seek to update our research report as appropriate, but various regulations may prevent us from doing so. Other than certain industry reports to be published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate.

China Renaissance conducts a global integrated investment banking, investment management, and brokerage business. We have investment banking and other business relationships with a substantial percentage of the companies covered by our research group.

Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients and principal trading desks that reflect opinions that are contrary to the opinions expressed in this research report. Our asset management area and investing businesses may make investment decisions that are inconsistent with the recommendations or views expressed in this research report.

The analysts named in this report may have from time to time discussed with our clients, including China Renaissance salespersons and traders, or may discuss in this report trading strategies that reference catalysts or events that may have a near-term impact on the market price of the equity securities discussed in this report, which impact may be directionally counter to the analysts' published price target expectations for such stocks. Any such trading strategies are distinct from and do not affect the analysts' fundamental equity rating for such stocks, which reflects a stock's return potential relative to its coverage group as described herein.

We and our affiliates, officers, directors, and employees, excluding research analysts named in this report, may from time to time have long or short positions in, act as principal in, and buy or sell, the securities or derivatives, if any, referred to in this research report.

The views attributed to third-party presenters at China Renaissance arranged conferences, including individuals from other parts of China Renaissance, do not necessarily reflect those of the research group and are not an official view of China Renaissance.

Any third party referenced herein, including any salespeople, traders and other professionals or members of their household, may have positions in the products mentioned that are inconsistent with the views expressed by analysts named in this report.

This research report is not an invitation or offer to sell or the solicitation of an offer to buy any security or related financial instrument. Any security or related financial instrument discussed herein may not be eligible for distribution or sale in all jurisdictions and/or to all types of investors. This research report is provided for information purposes only. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should consider whether any advice or recommendation in this research report is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The price and value of investments referred to in this research report and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

Certain transactions, including those involving futures, options, and other derivatives, give rise to substantial risk and are not suitable for all investors. Investors should review current options disclosure documents, which are available from China Renaissance sales representatives or at http://www.theocc.com/about/publications/character-risks.jsp.

Transaction costs may be significant in option strategies calling for multiple purchase and sales of options such as spreads. Supporting documentation will be supplied upon request.

All research reports are disseminated and available to all clients simultaneously through electronic publication to our internal client websites. Not all research content is redistributed to our clients or available to third-party aggregators, nor is China Renaissance responsible for the redistribution of our research by third party aggregators. For research, models or other data available on a particular security, please contact your China Renaissance sales representative.

No part of this report may be reproduced or redistributed in any manner without the written permission of China Renaissance. China Renaissance specifically prohibits the redistribution of this report, via the Internet or otherwise, and accepts no liability whatsoever for the actions of third parties in this respect.

Disclosure information is also available from Compliance, 295 Madison Avenue, 18th Floor, New York, NY 10017 or at https://research.chinarenaissance.com/en/disclaimer.

©2026. China Renaissance.

All rights reserved. This publication or any portion hereof shall not be sold, reprinted or redistributed without the prior written consent of China Renaissance.